APPROVAL OF RELATED DOCUMENTS; AND ELECTION TO APPLY SUPPLEMENTAL ACT TO THE BONDS

Section 201. Authority. This Resolution is adopted and each series of Bonds shall initially be issued in Authorized Denominations via physical delivery pursuant to this Resolution, the Act and the Supplemental Act. The Authority agrees to be bound by the terms, provisions, representations, warranties and covenants of contained in this Resolution.

Section 202. The Bonds and Parity Bonds Equally Secured. The covenants and agreements herein set forth to be performed by the Authority shall be for the equal benefit, protection and security of the Owners of the Outstanding Bonds and any Outstanding Parity Bonds hereafter authorized and issued, and any Parity Credit Facility Obligations relating thereto and any Providers of Parity Financial Products Agreements hereafter entered into, all of which, regardless of the time or times of their issue or maturity, shall be of equal rank without preference, priority or distinction of any of such securities over any other thereof, except as otherwise expressly provided in or pursuant to this Resolution.

Section 203. Special Obligations. All of the Debt Service Requirements of the Bonds shall be payable and collectible solely out of (a) the Net Revenues, which revenues are hereby so pledged, on a parity with any Parity Bonds hereafter issued, (b) from moneys on deposit in the Project Fund and the Bond Fund, to the extent provided herein, which moneys are hereby pledged, and (c) from moneys received pursuant to the Leasehold Deed of Trust, pursuant to the terms and conditions of the Leasehold Deed of Trust, which moneys are hereby pledged. Amounts on deposit in the Project Fund and the Bond Fund, and moneys received pursuant to the Leasehold Deed of Trust shall not secure the payment of any Parity Bonds hereafter issued.

The Owner of the Bonds may not look to any general or other fund for the payment of such Debt Service Requirements, except the herein designated Net Revenues and special funds pledged therefor. The full faith and credit of the Authority is not pledged to the payment of the Bonds. No statutory or constitutional provision enacted after the issuance of the Bonds shall in any manner be construed as limiting or impairing the obligation of the Authority to comply with the provisions of this Resolution or to pay the Debt Service Requirements of the Bonds as herein provided.

The Bonds shall not be a debt of the State or the Town and neither the State nor the Town shall be liable thereon, nor in any event shall the Bonds be payable out of any funds other than those of the Authority, as further provided herein.

Section 204. Character of Agreement. None of the covenants, agreements, representations and warranties contained herein or in the Bonds shall ever impose or shall be construed as imposing any liability, obligation or charge against the Authority except the Net Revenues and special funds pledged therefor, and the full faith and credit of the Authority is not pledged to the payment of the Bonds.

Section 205. Net Revenues and Leasehold Deed of Trust. The payment of the Bonds is secured by an encumbrance, mortgage and pledge of the Net Revenues from the Project, by to the rules and requirements of any governmental authority or any usage or requirement of law with respect thereto. The terms and provisions of **Exhibit A** are hereby incorporated by this reference.

ARTICLE IV

REDEMPTION

Section 401. Optional Redemption. The Bonds shall be subject to redemption at the option of the Authority as set forth in the Sale Certificate.

Section 402. Mandatory Sinking Fund Redemption. The Bonds shall be subject to mandatory sinking fund redemption at the times, in the amounts and at the prices provided in the Sale Certificate. Except as hereinafter provided, on or before the thirtieth day prior to each such mandatory sinking fund payment date, the Paying Agent shall proceed to call the Bonds for redemption from the sinking fund on the next mandatory sinking fund payment date, and give notice of such call without further instruction or notice from the Authority. Notwithstanding the foregoing, to the extent that the Initial Purchaser is the sole owner of the Bonds, the Paying Agent shall not be required to give the Initial Purchaser notice of mandatory sinking fund redemption.

On each mandatory sinking fund redemption date, the Bonds shall be partially redeemed by payment to the Owner of the amount set forth in the mandatory sinking fund schedule. To the extent that the Initial Purchaser is the sole owner of the Bonds, the Initial Purchaser shall not be required to present the Bonds for mandatory sinking fund redemption.

Section 403. Partial Optional Redemption. In the event that a portion of the Bonds is optionally redeemed, the Paying Agent shall, without charge to the owner of the Bonds, authenticate and issue a replacement Bonds for the unredeemed portion thereof. Any partial optional redemption shall, at the option of the Authority, be applied (a) pro rata against the mandatory sinking fund obligations in each year, (b) in inverse order of mandatory sinking fund payments, or (c) as otherwise determined by the Authority. Upon any such partial optional redemption, the Authority shall provide the Paying Agent and the Initial Purchaser with a revised mandatory sinking fund schedule.

Section 404. Notice of Prior Redemption. Unless otherwise waived by the Paying Agent, the Authority shall give written instructions concerning any optional prior redemption of the Bonds to the Paying Agent at least thirty-five days prior to such Redemption Date. Notice of optional or mandatory redemption shall be given by the Paying Agent in the name of the Authority by sending a copy of such notice by first-class, postage prepaid mail, not more than sixty nor less than thirty days prior to the Redemption Date to the Owner at his address as it last appears on the registration books kept by the Paying Agent. Such notice shall identify the amount of the Bonds to be so redeemed and the Redemption Date, and shall further state that on such Redemption Date there will become and be due and payable upon the Bonds so to be redeemed, at the Paying Agent, the principal amount thereof to be redeemed, accrued interest to the Redemption Date, and the stipulated premium, if any, and that from and after such date

(b) The performance and observance of all terms, covenants, conditions, and provisions to be performed or observed by Grantor pursuant to the terms of this Leasehold Deed of Trust.

1.19 Town: The Town of Telluride, Colorado.

ARTICLE II.
GRANTING CLAUSE

2.01 Grant to Public Trustee; Restriction on Use of Premises. As security for the Secured Obligations, Grantor hereby grants, bargains, encumbers, assigns and mortgages to the Public Trustee, with power of sale, all of its estate, right, title and interest in, to and under the Premises, Chattels and Intangible Personalty in trust for the use and benefit of Beneficiary, and subject to all provisions of this Leasehold Deed of Trust, the Bond Resolution, the Sale Certificate and the Project Fund Agreement.

Notwithstanding the foregoing or anything contained herein or in any other Bond Documents to the contrary, the residential housing units that will be constructed as part of the Premises shall be used exclusively as affordable housing for persons and households working within the boundaries of the Telluride R-1 School District, in accordance with the Bond Resolution and the Act, and any use, sale or foreclosure of the Premises hereunder shall be subject to such restriction. In addition, in the event that the leasehold interest in the Ground Lease is sold or foreclosed on by the Public Trustee pursuant to the terms and provisions of this Leasehold Deed of Trust, the Ground Lease shall automatically terminate without further action by the Town or the Grantor on December 31, 2052, unless terminated prior to such time in accordance with the provisions of the Ground Lease or this Leasehold Deed of Trust. Upon termination of the Ground Lease, all improvements constructed on the Real Property shall automatically pass in fee simple title to the Town pursuant to the terms of the Ground Lease.

The Town shall have the right to enforce the requirement that the residential housing units that will be constructed as part of the Premises shall be used exclusively as affordable housing for persons and households working within the boundaries of the Telluride R-1 School District in accordance with the Bond Resolution and the Act. If such residential units are not being used for such affordable housing purposes, the Town shall have the right, upon 30 days written notice to the Grantor, the Beneficiary, and any purchaser under this Leasehold Deed of Trust, to terminate the Ground Lease and assume possession of the Real Property and the Premises. The remedies contained in this section shall survive foreclosure of this Leasehold Deed of Trust, and shall inure to the benefit of and be enforceable by the Town.

ARTICLE III.
GRANTOR'S TITLE AND AUTHORITY

3.01 Warranty of Title. Grantor represents and warrants to Beneficiary that (a) it is the owner of a valid and enforceable leasehold interest in the Real Property pursuant to the provisions of the Ground Lease, and is otherwise the owner of title to the Premises, Chattels and Intangible Personalty, subject to the terms and provisions of the Ground Lease; (b) this Leasehold Deed of Trust constitutes a valid first lien upon and security interest in the Premises, Chattels and Intangible